

# 25NNCV00941 25NNCV00941

County: los-angeles

Division: Civil Law and Motion

Department: P

Hearing date: 2026-08-06

Source URL:

[https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept\\_date=PAS%2CP%2C08%2F06%2F2026](https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=PAS%2CP%2C08%2F06%2F2026)

Source SHA-256: b710c78baf70a331271a635fc0f5462067c42b920e0a2906105845764150cdb7

Case Number: 25NNCV00941 Hearing Date: August 6, 2026 Dept: P

[TENTATIVE] ORDER DENYING

DEFENDANTS' MOTION TO BIFURCATE

## I. INTRODUCTION

On February 11, 2025, Plaintiff ABC Grand Inc. ("Plaintiff") filed this breach of contract action against Defendants Redlands Summit, LLC ("Redlands Summit") and Dongliang Zhang ("Zhang") (collectively "Defendants"). Plaintiff alleges it loaned Redlands Summit \$100,000 pursuant to a written Loan Agreement, which Zhang personally guaranteed, and that Defendants breached the agreement by failing to repay the loan and accrued interest.

On July 15, 2026, Defendants filed the instant motion to bifurcate. Plaintiff filed its opposition on July 24, 2026, and Defendants filed their reply on July 30, 2026.

## II. LEGAL STANDARD

Upon a properly noticed motion of a party made no later than the close of pretrial conference, a court may bifurcate a trial into separate issues when the convenience of witnesses, the ends of justice, or the economy and efficiency of handling the litigation would be promoted thereby. (CCP § 598.) The court, in furtherance of convenience or to avoid prejudice, or when separate trials will be conducive to expedition and economy, may order a separate trial of any cause of action, or of any separate issue of any number of causes of action, preserving the right of trial by jury as required by the Constitution or a statute of this state or of the United

States. (CCP §1048(b)).

### III. ANALYSIS

#### Defendants

move under Code of Civil Procedure section 598 to bifurcate the threshold issue of whether the March 2024 Loan Agreement is valid and enforceable. They argue Plaintiff funded the \$100,000 loan in April 2023 without providing the disclosures required by Financial Code section 22802, and that the later written agreement imposed previously undisclosed terms, including a 36 percent interest rate, daily late fees, and a personal guaranty. (Motion, pp. 6-9)

Defendants contend the agreement is therefore void, voidable, or unenforceable as a contract made in violation of a public-protection statute. They further argue that enforceability is a question of law for the Court and that any preliminary factual issues concerning whether and when the required disclosures were provided should also be decided by the Court under Evidence Code section 405. (Motion, pp. 9-10.)

#### Defendants propose a Phase One

bench trial on statutory compliance and enforceability, followed, if necessary, by a jury trial concerning the terms of any oral or implied agreement, breach, payments, and damages. They maintain bifurcation would narrow the issues, reduce jury confusion, avoid prejudice, and promote settlement. (Motion, pp. 10-11.)

#### In opposition, Plaintiff argues

Defendants have failed to demonstrate that bifurcation would promote judicial economy or efficiency. Plaintiff contends that, even if the Court determines the March 2024 written agreement is unenforceable, a second trial would still be necessary to determine the terms of the parties' oral agreement. Plaintiff further argues the validity of the written agreement is intertwined with the remaining issues in the case, making bifurcation inefficient. (Opposition, p. 4.)

#### Plaintiff also argues the same

witnesses and evidence would be required in both phases, resulting in duplicative testimony and frustrating judicial economy. (Opposition, p. 4.)

Here, Defendants correctly note

that Financial Code section 22802 requires a commercial financing provider to obtain a signed disclosure before consummation of the transaction, and they present evidence that the written Loan Agreement was not executed until approximately eleven months after Plaintiff funded the loan. However, the question presently before the Court is not whether Plaintiff complied with the CFDL, but whether a separate bench trial is warranted under Code of Civil Procedure section 598.

Although Defendants argue the March 2024 Loan Agreement is void or unenforceable because of Plaintiff's alleged noncompliance with Financial Code section 22802, they cite no authority holding that such a violation requires bifurcation or renders a subsequent written agreement void or unenforceable as a matter of law. Thus, while the Court may ultimately determine the legal effect of any alleged CFDL violation, Defendants have not demonstrated that the issue must be resolved in a separate preliminary phase rather than together with the remaining issues at trial.

Moreover, the Court is not persuaded that bifurcation would promote judicial economy or convenience. The Court acknowledges Defendants' argument that the proposed Phase One would involve a narrow inquiry into Plaintiff's compliance with Financial Code section 22802 and could reduce potential jury confusion regarding the March 2024 Loan Agreement. (Reply, pp. 4-5.) However, even if the Court were to determine during Phase One that the agreement is unenforceable, the parties would still be required to litigate the remaining issues, including the existence and terms of any oral or implied agreement, breach, payments, and damages. Those issues arise from the same loan transaction and may require testimony from many of the same witnesses. Because those issues arise from the same underlying transaction and may involve overlapping witnesses and evidence, the Court is not persuaded that bifurcation would materially streamline the proceedings or conserve judicial resources.

Further, given the September 1, 2026, trial date, the Court is not persuaded that conducting a separate bench trial at this stage would materially streamline the proceedings. Defendants have not demonstrated that bifurcation would promote convenience, avoid prejudice, or further judicial economy as contemplated by Code of Civil Procedure section 598

Thus, the Court DENIES Defendants' motion to bifurcate trial.

#### IV. CONCLUSION AND ORDER

The Court DENIES Defendants' motion to bifurcate trial.

Defendants are to give notice.

Dated: August 6, 2026

JARED D. MOSES  
JUDGE OF THE SUPERIOR COURT